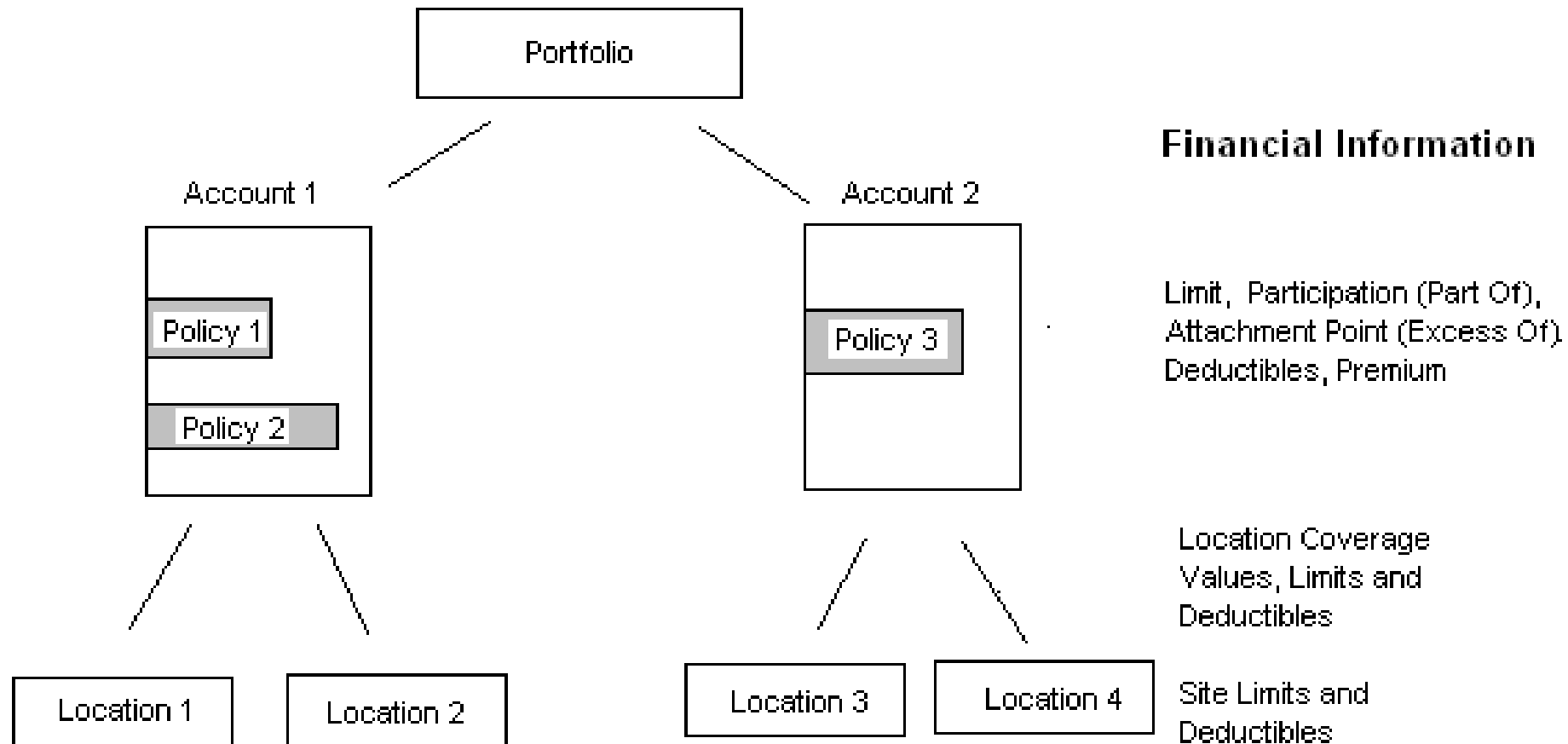
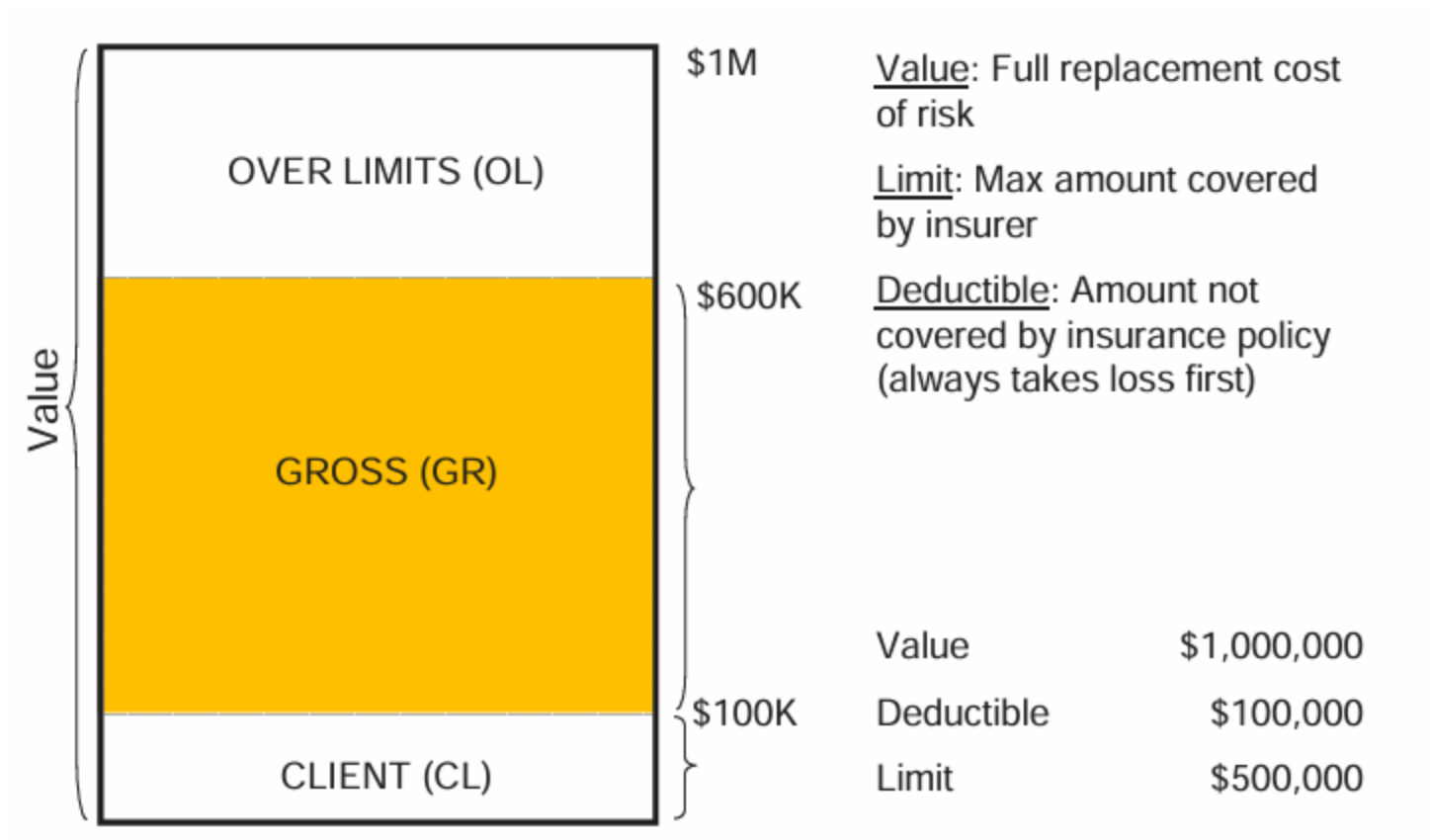


POLICY LIMITS & DEDUCTIBLES

INSURANCE ACCOUNT STRUCTURE



Typical Policy Structure



Limits and Deductibles

- Application levels in RiskLink[®]
 - **Location coverage**
 - Limit / deductible
 - Combined limit / deductible
 - **Location (site)** (covers all coverages at the location)
 - Limit / deductible
 - **Policy coverage** (covers all locations under policy)
 - Coverage limit / deductible
 - Blanket limit / deductible
 - Min & max deductibles
- Deductibles and limits can be defined at many levels, but only one (the effective limit/deductible) is used in the end at any given level.
 - Not additive, no inuring relationships
- % deductibles are based on % of value, not % of loss

Limits and Deductibles Descriptions

Location Coverage Level

Applied separately to each coverage:

- Building
- Contents
- Time Element / BI

Options available:

- Separate limits and deductibles per coverage
- Combined coverage limit (Building + Contents together)
- Combined coverage deductible (Building + Contents together)

Important:

- Combined limit does NOT require combined deductible

User may choose:

- Combined limit + separate deductibles
- Separate limits + combined deductible

Location (Site) Level

Limits and deductibles apply to all coverages at a single location

Covers:

- Building
- Contents
- Time Element

Overrides individual coverage totals if more restrictive

Policy Level (Policy Layer)

Applies to all locations under the policy

Can be defined for:

- Building policy coverage (Cover A & B)
- Contents policy coverage (Cover C)
- Time Element / BI policy coverage (Cover D)

Policy-level structures may include:

- Blanket limits
- Blanket deductibles
- Coverage-specific policy limits

Blanket Limits & Deductibles

Blanket limit → Applies to the entire policy

Blanket deductible → Applies to combined losses across all locations

Additional controls:

- Minimum deductible (floor)
- Maximum deductible (cap)

Purpose:

- Control the total effect of multiple location deductibles

Deductible Application Rules

- Application rule: Deductibles / limits always apply to greatest benefit of the insurer
 - RiskLink will always choose the deductible that generates the greatest Client Loss

	Example 1	Example2	Example 3
Policy Blanket:	500	5,000	500
Sum of Location/Site	1,000	1,000	1,000
Sum of Loc. Coverage	2,000	2,000	750
Deductible Used:	\$2,000	\$5,000	\$1,000

- RiskLink will always choose the limit on top of the chosen deductible that generates the smallest Gross Loss

Steps for Choosing Deductible/Limit

Step 1: Choose effective limit/deductible for policy coverage

- For each coverage, sum location coverage over all locations and compare to policy coverage

Step 2: Choose effective limit/deductible for location

- For each location, compare sum of location coverages to location

Step 3: Aggregate to policy level

- Sum coverage results from Step 1, sum location results from Step 2, compare



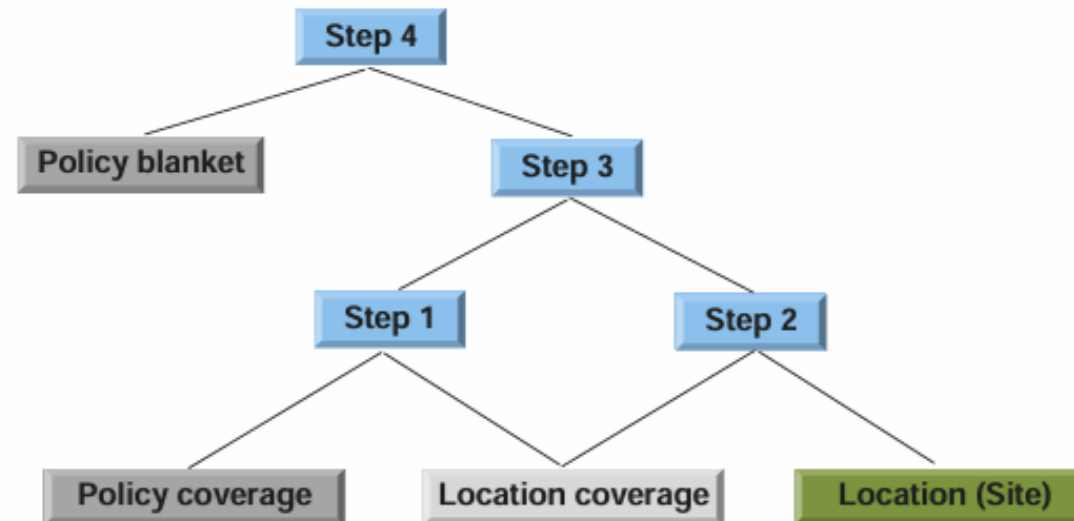
Choosing Deductible/Limit at Policy Level

Step 4a: Choose effective policy deductible

- Compare deductibles, choose larger (as at lower levels)

Step 4b: Choose effective policy limit (RiskLink 8.0)

- Apply policy financial structure to the loss in Step 3
- Treated differently because of attachment points and pro rata



Example of application of limit and deductible

■ What is loss to insurer if there is a total loss? *ANSWER: A*

<u>Locations</u>	<u>Loc 1</u>	<u>Loc 2</u>
- Building limit:	35	35
- Contents limit:	25	25
- Site limit:	70	40

<u>Policy</u>	
- Blanket limit:	105
- Attachment:	50

- A. 50
- B. 100
- C. 105
- D. 110

Step	Calculation	Answer
1	$(35+25) + (35+25)$	120
2	$\text{Min}(35+25, 70) + \text{Min}(35+25, 40)$	100
3	NA	NA
4	NA	NA
5	$(100-50)*100\%$	50

Coinsurance

What is it?

– Practice of an insurer participating in only a percentage part of a whole policy (e.g. 75%)

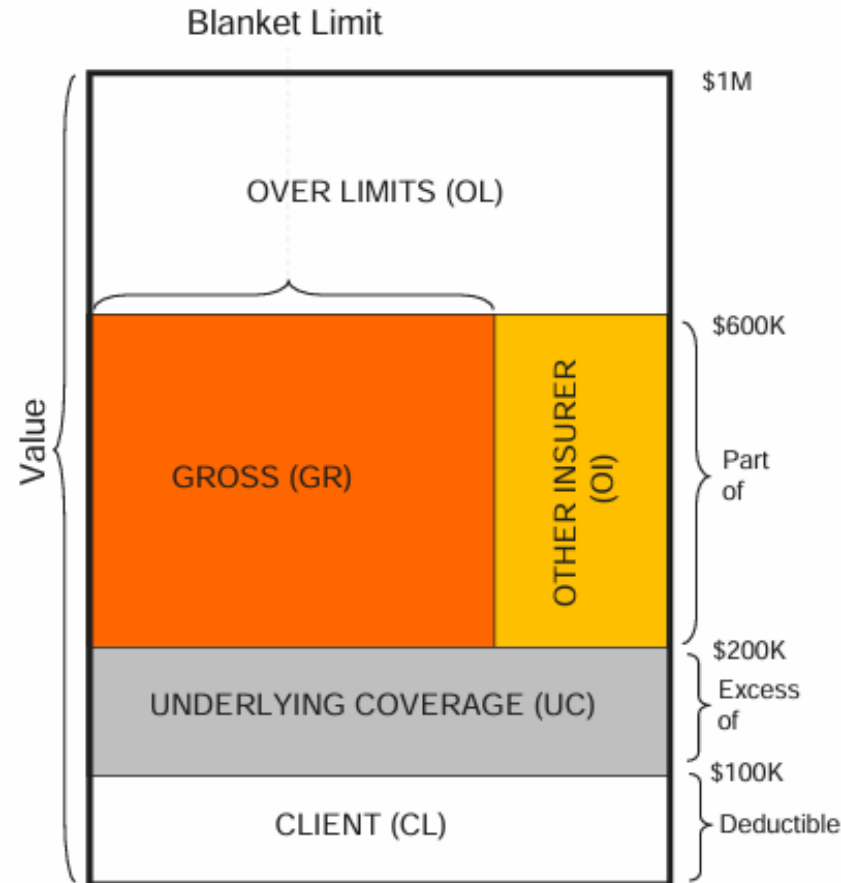
Remainder may be covered by other insurers or by insured

Structure

– Coinsurance operates on a proportional (vertical) as opposed to a first loss/excess (horizontal) basis

– In RiskLink it is defined by a combination of 'blanket limit' and 'part of' fields

When in doubt, draw a diagram!



Excess of: amount underlying coverage layer but above deductible (also called undercover amount or attachment point)

Part of: amount of entire layer

Blanket limit: maximum amount covered by the specific insurer (insurer's share of the policy)

Value	\$1,000,000
Deductible	\$100,000
Excess of	\$100,000
Part of	\$400,000
Blanket limit	\$300,000

Coinsurance Cont...

Expressed in many ways:

“\$300,000 part of \$400,000
excess of \$100,000”

“\$400,000 excess of \$100,000
with a 75% share”

Field	Option 1	Option 2
Blanket Limit	\$300,000	75%
Part Of	75%	\$400,000
Excess Of	\$100,000	\$100,000
Total Policy Layer Size	\$400,000	\$400,000
Insurer Share	\$300,000 (75%)	\$300,000 (75%)
Other Insurer Share (OI)	\$100,000 (25%)	\$100,000 (25%)
Result	 Valid	 Valid

Blanket limit or part of (but not both) can be entered as percentages

Example

- An insurer gives you the following policy to code into RiskLink: a total insured value of \$100M, an \$80M policy excess of \$5M with a 20% share, and a deductible of 10%
- Assuming a 60% loss to the location, what would the loss to the insurer be?
 - A. \$5.0M
 - B. \$9.0M
 - C. \$9.8M
 - D. \$10.0M

HINTS: 1. Draw a diagram

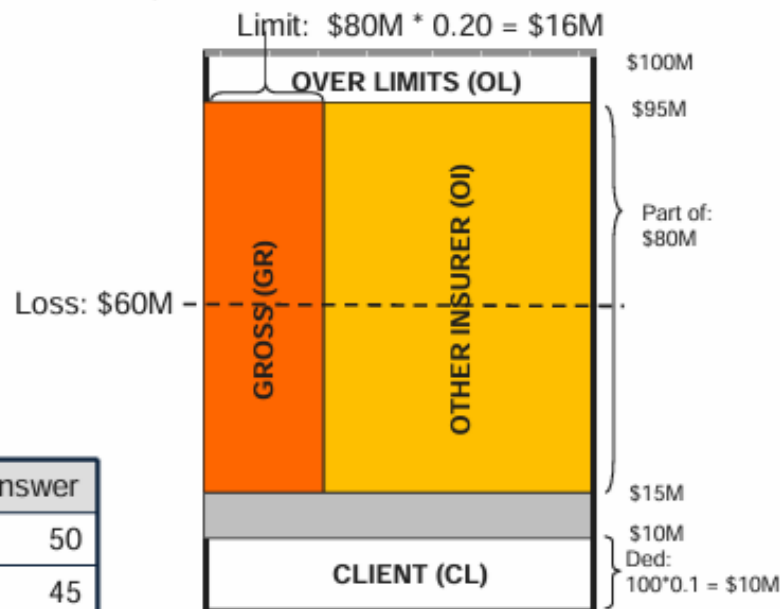
2. Calculate loss at each step

Solution

- An insurer gives you the following policy to code into RiskLink: a total insured value of \$100M, an \$80M policy excess of \$5M with a 20% share, and a deductible of 10%
- Assuming a 60% loss to the location, what would the loss to the insurer be? **ANSWER: B**

A. \$5.0M

Step	Calculation	Answer
1: Loss after deductible	$60 - 0.1 * 100$	50
2: Loss after excess of	$50 - 5$	45
3: Apply coinsurance	$45 * 0.2$	9



Financial Terms Review

Term	Simple Meaning	Real Property Insurance Example (CAT Modeling Context)
Blanket Limit	One single limit for all locations combined under a policy.	A policy covers 10 locations across Florida with a Blanket Limit of USD 100M. If any location is hit by a hurricane, losses from all sites together cannot exceed USD 100M.
Part Of	Shows how much of a larger insurance layer the specific policy covers.	Layer is USD 50M xs 50M. The insured buys USD 20M Part Of 50M. CAT modeler applies only USD 20M limit from the 50M layer.
Excess of (Attachment Point)	Losses are paid only above this threshold.	Policy: USD 100M xs 25M. For hurricane loss of USD 40M, insurer pays $40 - 25 = 15$ M.
Blanket Deductible	One deductible applied to the entire policy (not per location).	A global retail chain (50 stores) has Blanket Deductible = USD 5M. If multiple stores are damaged in a cyclone, all losses combined share one USD 5M deductible.
Minimum / Maximum Deductible	Policy Deductible cap when deductible is percent-based.	Policy has 5% of TIV per location, but min = USD 250k, max = USD 2M. If TIV is low, at least 250k applies. For high TIV sites, max 2M applies.
Coverage Value	Sum insured for Building, Contents, BI.	Location in Texas: Building = 20M, Contents = 5M, BI = 3M. These values go into RMS/AIR exposure inputs.
Coverage Limit / Coverage Deductible	Limit or deductible that applies separately to each coverage.	BI sub-limit: USD 10M BI limit, even though Building/Contents are covered higher. During CAT modeling, BI loss is capped at 10M.
Site Limit / Site Deductible	Limit or deductible that applies to an individual location.	Japan factory has Site Limit = JPY 2B even though blanket limit for policy is higher. Location-specific deductible: JPY 50M per site for earthquake.

RMS fields for Limit and Ded.

Files Name	RMS Fields	Notes
Account File	ACCNTNUM	The name of the policy or an identifying name; for inputting a single policy this name should be the same for each location and should match the ACCNTNUM in the Location file
Account File	ACCNTNAME	The name of the insured party
Account File	POLICYNUM	Peril Name(EQ,WS,SCS,FL,FR,TR)
Account File	POLICYTYPE	Peril Type(1,2,3,4,5,6)
Account File	BLANLIMAMT	Blanket Limit
Account File	PARTOF	Part Of
Account File	UNDCOVAMT	Excess of (Attachment Point)
Account File	BLANDEDAMT	Blanket Deductible
Account File	INCEPTDATE	The date of the first day on which coverage is effective
Account File	EXPIREDATE	The date of the last day on which coverage is effective
Account File	MINDEDAMT	Minimum / Maximum Deductible
Account File	MAXDEDAMT	Minimum / Maximum Deductible
Location Files	EQSITELIM	Coverage Limit / Coverage Deductible
Location Files	EQSITEDED	Site Limit / Site Deductible
Location Files	EQCOMBINEDLIM	Coverage Limit / Coverage Deductible
Location Files	EQCOMBINEDDED	Site Limit / Site Deductible
Location Files	USERTXT1	User define ref. column, use to code Site level limit and ded.
Location Files	USERTXT2	User define ref. column, use to code Site level limit and ded.

Account File Sample

ACCNTNUM	ACCNTNAME	POLICYNUM	POLICYTYPE	BLANLIMAMT	PARTOF	UNDCOVAMT	BLANDEDAMT	INCEPTDATE	EXPIREDATE	MINDEDAMT	MAXDEDAMT
XYZ123	XYZ123	EQ	1	1	25000000	25000000	0	1/1/2019	12/30/2019	2500000	10000000
XYZ123	XYZ123	HU	2	1	25000000	25000000	0	1/1/2019	12/30/2019	2500000	10000000
XYZ123	XYZ123	SCS	3	1	25000000	25000000	0	1/1/2019	12/30/2019	2500000	10000000
XYZ123	XYZ123	FL	4	1	25000000	25000000	0	1/1/2019	12/30/2019	2500000	10000000
XYZ123	XYZ123	FR	5	1	25000000	25000000	150000	1/1/2019	12/30/2019	2500000	10000000
XYZ123	XYZ123	TR	6	1	25000000	25000000	150000	1/1/2019	12/30/2019	2500000	10000000

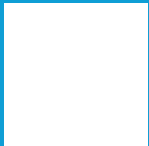
Incept and Expiry Dates



Inception and expiry dates are usually shown clearly on the first few pages of the slip.



If insurance is written as exactly 365 days (example: 01-Oct-2023 to 01-Oct-2024), change the expiry date to the previous day (30-Sep-2024).



Enter both dates in DD/MM/YYYY format in the INCEPTDATE and EXPIREDATE columns of the ACC file.

[illegible]

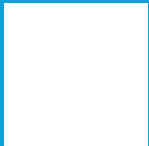
Line Size



Each insurer has their own share (line size), but for CAT modelling we always assume 100% line.



Normally the line is entered in the PARTOF column, but for modelling it should be shifted to BLANLIMAT.



Enter '1' in the BLANLIMAT column for every row (means 100% line).



BLANLIMAMT
1
1
1
1
1
1



Policy Limits

Policy limit (Blanket Limit) shows the maximum amount covered for each peril. It is usually written at the start of the slip under “Sum Insured”.

Most perils share the same limit, but sometimes specific perils, regions, or locations have lower limits (sublimits) mentioned later in the slip.

If a limit is written as “annual aggregate”, it cannot be modelled in RMS RiskLink however model in Risk modeler.

Enter the policy limit in the PARTOF column in the ACC file.

PARTOF
25000000
25000000
25000000
25000000
25000000
25000000

Excess

Some policies include an excess, which appears after the policy limit in the slip.

If the slip says “Excess of deductibles set forth below”, and the deductibles are listed in another section, then use the deductible rules explained in Deductible slides.

Enter the excess amount in the UNDCOVAMT column of the ACC file.

Aggregate excess cannot be modeled in RMS RiskLink however possible in RM.

If a large deductible is called “self-insured retention” and is mentioned separately, treat it as an excess.

UNDCOVAMT
25000000
25000000
25000000
25000000
25000000
25000000

Sublimits

Sublimits give lower limits for certain perils, regions, occupancies, or specific locations.

- Example: California EQ may have a lower limit than EQ in other states.

If the sublimit is higher than (policy limit + excess), then we don't need to capture it.

If the sublimit applies to the entire peril (e.g., all Flood) or to all locations in that region (e.g., all CA properties for CA EQ), then enter it as a blanket limit in the PARTOF column.

If the sublimit is very specific (only some regions/occupancies/addresses), it must be added later using RiskLink Special Conditions.

Not all sublimits can be modelled. Avoid things like boiler damage. Only capture:

- Nat Cat perils (EQ, Flood, Wind, etc.)
- Defined regions/countries. See the Zone and Tier Definitions folder in the inhouse guides folder documentation defining common peril regions
- Defined occupancies (schools, warehouses, etc.)
- Vehicles or fine art only if they represent 100% of the value at that location
- Specific addresses/locations clearly mentioned

What Are Deductibles?

Simple Meaning:

- A deductible is the amount the insured must absorb before insurance starts paying.

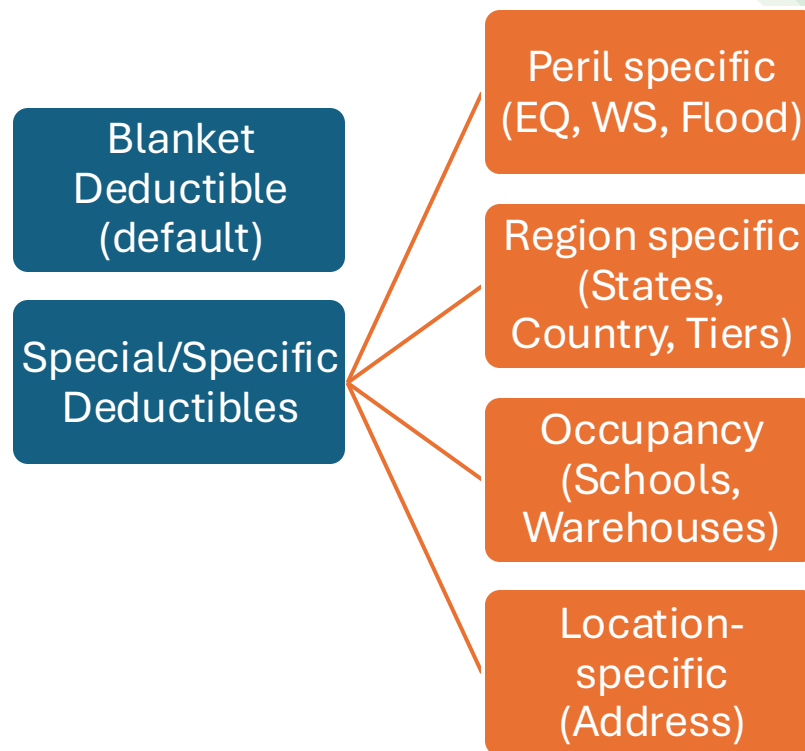


Why it matters in CAT Modeling:

- Deductibles change how much loss attaches to the model.
- They can be flat amounts or percentage based.
- They vary by location, peril, region, occupancy, etc.

Types of Deductibles

Type	Meaning	Example	Notes
Monetary Deductible (Flat)	Fixed amount	USD 100,000 per loss	Same for all locations
% Deductible	Percentage of value or loss	5% of TIV	Used in high-risk regions
Site Deductible	Applies to whole location	Building + contents together	Peril-specific
Coverage Specific	Applies to individual coverage	Separate for CV1, CV3 etc	Common for wind/quake
Combined Coverage	Single deductible for building + contents	"Property Damage deductible"	BI may still have separate time deductible



Blanket Deductibles

- The deductible section usually describes a blanket deductible that applies in the absence of specific special conditions. This blanket deductible is applied to any peril not implicated in special conditions.
- This deductible may be phrased as “USD100,000 any one loss occurrence EXCEPT:” or “USD100,000 all other losses”.
- Enter the deductible in BLANDEDAMT in the acc file.
- Monetary blanket deductibles (i.e. not a % deductible) entered in BLANDEDAMT are applied to locations covered by a policy.
- NOTE: % blanket deductibles applied in the BLANDEDAMT column of the acc file will be based on all location values, not just locations damaged. This is rarely used.

BLANDEDAMT
0
0
0
0
150000
150000

Location Deductibles

- We can apply deductibles to a location (site deductible) or on a unit of coverage at a location (location coverage specific).
- There may be specific deductibles for selected regions locations.
- In the loc file, filter for specific regions described in the slip (e.g. by state, occupancies or location name).
- You may need to filter the loc file on specific criteria e.g. State, occupancy.
- It is often useful to create columns USERTXT1 and USERTXT2. Their values in these columns are free for you to alter as you please to categorise criteria e.g. member names or location types. They will be maintained on import into RiskLink but will not affect any modelling outcome.

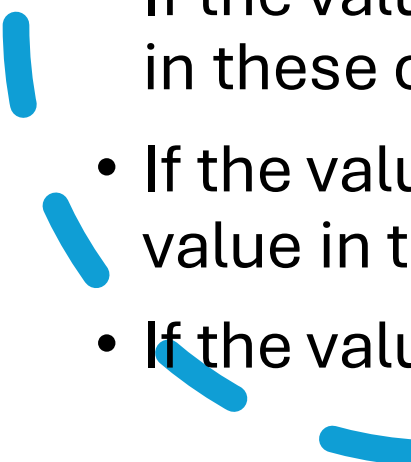
Site Deductibles

- Site deductibles are deductibles that apply to a whole location, independent of coverage type (CV1, CV2, CV3).
- Site deductibles are entered in the _SITEDED column in the loc file for a given peril (EQSITEDED, WSSITEDED etc).
- Monetary values or % deductibles can be entered here (% in decimal format).
- Filter for your selected criteria (e.g. California) and apply relevant deductible for that peril.
- Site deductibles can be viewed within RiskLink in the Secondary Modifier tabs in the loc table for each location.

Reply with Changes... End Review...																
Arial 8 B I U \$ % , .00 .00																
AD1	Site Deductible Amount															
	Q	R	S	T	U	V	W	X	Y	Z	AA	AB	AC	AD	AE	
1	Exposure	Value	Exposure	Value	Exposure	Value	Site Deductible Amount	Exposure	Value	Exposure	Value	Exposure	Value	Site Deductible Amount	Exposure	
2	EQ building	27713139	EQ contents	24839006	EQ BI	2766487	0.00	WS building	27713139	WS contents	24839006	WS BI	2766487	0.02	TR buil	
3	EQ building	10420198	EQ contents	17248496	EQ BI	8762332	0.05	WS building	10420198	WS contents	17248496	WS BI	8762332	0.02	TR buil	
4	EQ building	11184789	EQ contents	11604406	EQ BI	3958060	0.00	WS building	11184789	WS contents	11604406	WS BI	3958060	0.02	TR buil	
5	EQ building	6984068	EQ contents	10908939	EQ BI	3445475	0.05	WS building	6984068	WS contents	10908939	WS BI	3445475	0.02	TR buil	
6	EQ building	9774048	EQ contents	7894171	EQ BI	2690127	0.00	WS building	9774048	WS contents	7894171	WS BI	2690127	0.02	TR buil	
7	EQ building	5214314	EQ contents	11183973	EQ BI	3445479	0.00	WS building	5214314	WS contents	11183973	WS BI	3445479	0.02	TR buil	
8	EQ building	7646197	EQ contents	6823202	EQ BI	5211446	0.00	WS building	7646197	WS contents	6823202	WS BI	5211446	0.02	TR buil	
9	EQ building	4848711	EQ contents	3743893	EQ BI	5373104	0.05	WS building	4848711	WS contents	3743893	WS BI	5373104	0.02	TR buil	
10	EQ building	0	EQ contents	11176962	EQ BI	955356	0.00	WS building	0	WS contents	11176962	WS BI	955356	0.02	TR buil	
11	EQ building	2322775	EQ contents	4632965	EQ BI	4776780	0.05	WS building	2322775	WS contents	4632965	WS BI	4776780	0.02	TR buil	
12	EQ building	5883091	EQ contents	2947827	EQ BI	1952643	0.00	WS building	5883091	WS contents	2947827	WS BI	1952643	0.02	TR buil	
13	EQ building	4859547	EQ contents	4392554	EQ BI	1312757	0.05	WS building	4859547	WS contents	4392554	WS BI	1312757	0.02	TR buil	
14	EQ building	2907045	EQ contents	3238552	EQ BI	3334709	0.05	WS building	2907045	WS contents	3238552	WS BI	3334709	0.02	TR buil	
15	EQ building	3363735	EQ contents	2875361	EQ BI	991893	0.05	WS building	3363735	WS contents	2875361	WS BI	991893	0.02	TR buil	
16	EQ building	2145366	EQ contents	1448122	EQ BI	955356	0.00	WS building	2145366	WS contents	1448122	WS BI	955356	0.02	TR buil	
17	EQ building	3841392	EQ contents	110423	EQ BI	186000	0.00	WS building	3841392	WS contents	110423	WS BI	186000	0.02	TR buil	
18	EQ building	2103300	EQ contents	1053295	EQ BI	644403	0.05	WS building	2103300	WS contents	1053295	WS BI	644403	0.02	TR buil	
19	EQ building	1820750	EQ contents	497581	EQ BI	238839	0.00	WS building	1820750	WS contents	497581	WS BI	238839	0.02	TR buil	
20	EQ building	1690868	EQ contents	472170	EQ BI	304439	0.00	WS building	1690868	WS contents	472170	WS BI	304439	0.02	TR buil	
21	EQ building	0	EQ contents	1819726	EQ BI	477678	0.00	WS building	0	WS contents	1819726	WS BI	477678	0.02	TR buil	
22	EQ building	1510934	EQ contents	321805	EQ BI	442822	0.05	WS building	1510934	WS contents	321805	WS BI	442822	0.02	TR buil	
23	EQ building	2054611	EQ contents	0	EQ BI	0	0.00	WS building	2054611	WS contents	0	WS BI	0	0.02	TR buil	
24	EQ building	561354	EQ contents	813159	EQ BI	436607	0.05	WS building	561354	WS contents	813159	WS BI	436607	0.02	TR buil	
25	EQ building	0	EQ contents	230850	EQ BI	1000000	0.05	WS building	0	WS contents	230850	WS BI	1000000	0.02	TR buil	
26	EQ building	750000	EQ contents	0	EQ BI	100000	0.05	WS building	750000	WS contents	0	WS BI	100000	0.02	TR buil	
27	EQ building	274270	EQ contents	296565	EQ BI	91879	0.00	WS building	274270	WS contents	296565	WS BI	91879	0.02	TR buil	
28	EQ building	0	EQ contents	473608	EQ BI	0	0.00	WS building	0	WS contents	473608	WS BI	0	0.02	TR buil	
29	EQ building	464989	EQ contents	0	EQ BI	0	0.00	WS building	464989	WS contents	0	WS BI	0	0.02	TR buil	
30	EQ building	0	EQ contents	210330	EQ BI	250000	0.05	WS building	0	WS contents	210330	WS BI	250000	0.02	TR buil	
31	EQ building	0	EQ contents	100000	EQ BI	0	0.05	WS building	0	WS contents	100000	WS BI	0	0.02	TR buil	
32	EQ building	0	EQ contents	71820	EQ BI	0	0.00	WS building	0	WS contents	71820	WS BI	0	0.02	TR buil	



Site level Minimum & Maximum % Deductibles

- If a percentage deductible is given with a minimum and/or maximum value, create a column for the TIV of each location in your highlighted criteria and order a based on TIV.
 - In a new column, calculate the resulting deductible with the relevant % deductible applied.
 - If the value is below the minimum, code the minimum deductible value in these cells.
 - If the value is below the maximum, code the maximum deductible value in these cells.
 - If the value is in between the min & max, code the % deductible.
- 

Location Coverage Specific Ded

- Deductibles may apply per unit of insurance, meaning the deductible is specific to coverage type (CV1, CV2, CV3). This is most typically seen in % deductibles.
- Coverage specific deductibles are entered in the _CV1DED, _CV2DED columns in the loc file for a given peril (EQCV1DED, EQCV2DED etc).
- Monetary values or % deductibles can be entered here (% in decimal format).
- Filter for your selected criteria (e.g. California) and apply relevant deductible for that peril.
- Coverage deductibles can be viewed in RiskLink in the loc table, within the coverage table for each location.

Reply with Changes... End Review...																	
Arial 8 B I U \$ % , .00 .00																	
AE1		fx Deductible															
	Q	R	S	T	U	V	W	X	Y	Z	AA	AB	AC	AD	AE	AF	AG
1	Exposure	Value	Deductible	Exposure	Value	Deductible	Exposure	Value	Deductible	Exposure	Value	Deductible	Exposure	Value	Deductible	Exposure	Value
2	EQ building	27713139	0.02	EQ contents	24839006	0.03	EQ BI	2766487	0.04	WS building	27713139	0.02	WS contents	24839006	0.03	WS BI	2766487
3	EQ building	10420198	0.02	EQ contents	17248496	0.03	EQ BI	8762332	0.04	WS building	10420198	0.02	WS contents	17248496	0.03	WS BI	8762332
4	EQ building	11184789	0.02	EQ contents	11604406	0.03	EQ BI	3958060	0.04	WS building	11184789	0.02	WS contents	11604406	0.03	WS BI	3958060
5	EQ building	6984068	0.02	EQ contents	10908939	0.03	EQ BI	3445475	0.04	WS building	6984068	0.02	WS contents	10908939	0.03	WS BI	3445475
6	EQ building	9774048	0.02	EQ contents	7894171	0.03	EQ BI	2690127	0.04	WS building	9774048	0.02	WS contents	7894171	0.03	WS BI	2690127
7	EQ building	5214314	0.02	EQ contents	11183973	0.03	EQ BI	3445479	0.04	WS building	5214314	0.02	WS contents	11183973	0.03	WS BI	3445479
8	EQ building	7646197	0.02	EQ contents	6823202	0.03	EQ BI	5211446	0.04	WS building	7646197	0.02	WS contents	6823202	0.03	WS BI	5211446
9	EQ building	4848711	0.02	EQ contents	3743893	0.03	EQ BI	5373104	0.04	WS building	4848711	0.02	WS contents	3743893	0.03	WS BI	5373104
10	EQ building	0	0.02	EQ contents	11176962	0.03	EQ BI	955356	0.04	WS building	0	0.02	WS contents	11176962	0.03	WS BI	955356
11	EQ building	2322775	0.02	EQ contents	4632965	0.00	EQ BI	4776780	0.04	WS building	2322775	0.02	WS contents	4632965	0.00	WS BI	4776780
12	EQ building	5883091	0.02	EQ contents	2947827	0.00	EQ BI	1952643	0.04	WS building	5883091	0.02	WS contents	2947827	0.00	WS BI	1952643
13	EQ building	4859547	0.02	EQ contents	4392554	0.00	EQ BI	1312757	0.04	WS building	4859547	0.02	WS contents	4392554	0.00	WS BI	1312757
14	EQ building	2907045	0.02	EQ contents	3238552	0.00	EQ BI	3334709	0.04	WS building	2907045	0.02	WS contents	3238552	0.00	WS BI	3334709
15	EQ building	3363735	0.02	EQ contents	2875361	0.00	EQ BI	991893	0.04	WS building	3363735	0.02	WS contents	2875361	0.00	WS BI	991893
16	EQ building	2145366	0.02	EQ contents	1448122	0.00	EQ BI	955356	0.04	WS building	2145366	0.02	WS contents	1448122	0.00	WS BI	955356
17	EQ building	3841392	0.02	EQ contents	110423	0.00	EQ BI	186000	0.04	WS building	3841392	0.02	WS contents	110423	0.00	WS BI	186000
18	EQ building	2103300	0.02	EQ contents	1053295	0.03	EQ BI	644403	0.04	WS building	2103300	0.02	WS contents	1053295	0.03	WS BI	644403
19	EQ building	1820750	0.02	EQ contents	497581	0.03	EQ BI	238839	0.04	WS building	1820750	0.02	WS contents	497581	0.03	WS BI	238839
20	EQ building	1690868	0.02	EQ contents	472170	0.03	EQ BI	304439	0.04	WS building	1690868	0.02	WS contents	472170	0.03	WS BI	304439
21	EQ building	0	0.02	EQ contents	1819726	0.03	EQ BI	477678	0.04	WS building	0	0.02	WS contents	1819726	0.03	WS BI	477678
22	EQ building	1510934	0.02	EQ contents	321805	0.03	EQ BI	442822	0.00	WS building	1510934	0.02	WS contents	321805	0.03	WS BI	442822
23	EQ building	2054611	0.02	EQ contents	0	0.03	EQ BI	0	0.00	WS building	2054611	0.02	WS contents	0	0.03	WS BI	0
24	EQ building	561354	0.02	EQ contents	813159	0.03	EQ BI	436607	0.00	WS building	561354	0.02	WS contents	813159	0.03	WS BI	436607
25	EQ building	0	0.02	EQ contents	230850	0.03	EQ BI	1000000	0.00	WS building	0	0.02	WS contents	230850	0.03	WS BI	1000000
26	EQ building	750000	0.02	EQ contents	0	0.03	EQ BI	100000	0.00	WS building	750000	0.02	WS contents	0	0.03	WS BI	100000
27	EQ building	274270	0.02	EQ contents	296565	0.03	EQ BI	91879	0.00	WS building	274270	0.02	WS contents	296565	0.03	WS BI	91879
28	EQ building	0	0.02	EQ contents	473608	0.03	EQ BI	0	0.00	WS building	0	0.02	WS contents	473608	0.03	WS BI	0
29	EQ building	464989	0.02	EQ contents	0	0.03	EQ BI	0	0.00	WS building	464989	0.02	WS contents	0	0.03	WS BI	0
30	EQ building	0	0.02	EQ contents	210330	0.03	EQ BI	250000	0.00	WS building	0	0.02	WS contents	210330	0.03	WS BI	250000
31	EQ building	0	0.02	EQ contents	100000	0.03	EQ BI	0	0.00	WS building	0	0.02	WS contents	100000	0.03	WS BI	0
32	EQ building	0	0.02	EQ contents	71820	0.03	EQ BI	0	0.04	WS building	0	0.02	WS contents	71820	0.03	WS BI	0

Combined Building & Contents Deductible

- Sometimes deductibles are given as ‘combined coverage’ or ‘property damage’, this refers to the combined coverages of buildings (CV1) and contents (CV2).
- Combined coverage deductibles can be entered in the _COMBINEDDED column.
- Remember, there may still be a BI time deductible given which must be entered in _CV3DED.
- % Minimum and Maximum
- Use the same methodology described in previous slides to apply minimum and maximum deductibles however, calculate resulting value with relevant % deductible applied to the sum of CV1+CV2 and CV3 on each location separately.

SPECIAL CONDITIONS

Policy Conditions

Ability to define a policy that applies ONLY to certain locations

- Example: A policy that covers only California locations

Ability to define a policy that covers all locations but applies limited coverage (limit/deductible) to a subset of locations (Sublimit)

- Example: A \$100M EQ policy with a \$50M sublimit for California locations

These are generally referred to as Special Conditions

At the Policy Level

- Ability to define a condition at the policy level
- Ability to see which locations the condition applies to
- Ability to manually select the locations the condition applies to (User explicitly selects specific buildings/locations)
- Ability to use criteria to automatically identify locations the condition applies to

Examples:

- State Code = CA
- Occupancy Type = Hospital
- UserText1 = "High Hazard Zone"

At the Location Level

- Ability to see which conditions apply to each location (Each location shows the list of applied Special Conditions)
- Ability to manually assign which conditions apply to a location (User can override or add specific conditions)

Example 1 — Policy applies only to a subset

- "Apply this EQ policy only to California buildings."

Example 2 — Policy applies to all, but with a sublimit

- "Policy limit = \$100M, but only up to \$50M can be used for California buildings."

How to Create Special Conditions in RiskLink

Adobe Reader - [pdfstreamer.pdf]

File Edit View Document Tools Window Help

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Account Information Tab

National Accounts Tool

Account Information | Locations

Account Information:

Number	Name	Underwriter	Branch	Producer	Cedant	Active	User Defined 1	User Defined 2
Sample						No		

Policies:

Number	Limit	%	Part Of	%	Excess Of	Deductible	%	Min De
EQ Pol	50.00	☒	250,000,000.00	☐	0.00	0.00	☒	
*	0.00	☐	0.00	☐	0.00	0.00	☐	

Details	Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductible
...	Calif Sublimit	Sublimit		100,000,000.00	50,000,000.00	0.0
*	...	Sublimit		0.00	0.00	0.0

Special Conditions | Coverages | Reinsurance

Save as New Account Save and Exit Save Cancel Help

... button - Detail window
Condition Name - in or selected defined list
Type of Condition - 'Sublimit' or Restriction
Sub-condition - to indicate child relationship
Total Limit - condition limit
Exposed Limit - only. Calculate Total Limit Rate
Deductible - deductible
% checkbox - define per deductible

New Special Conditions Tab

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11 x 8.5 in 7 of 53

start New Memo - Lotus ... D:\Temp\from rms ... Wk2_D2_2_Overvi... MacManus_Financi... Adobe Reader - [... WS_FTP Pro Rtp.rm...

Steps

1. Select the policy row

- Open the account you are modelling.
- In the account table, click on the policy row for the peril you want to modify.
- The selected row will be highlighted with an arrow.

2. Open the Special Conditions tab

- At the bottom of the window, click the Special Conditions tab.

The screenshot shows the 'National Accounts Tool' window. The 'Account Information' tab is active, displaying a table with columns: Number, Name, Underwriter, Branch, Producer, Cedant, Active, User Defined 1, and User Defined 2. The 'Policies' section shows a table with columns: Number, Limit, %, Part Of, %, Excess Of, Deductible, %, and Min De. The 'EQ Pol' row is selected. Below this, a table shows details for 'Calif Sublimit' with columns: Details, Condition Name, Type of Cond, Sub-condition of, Total Limit, Exposed Limit, and Deductible. The 'Special Conditions' tab is highlighted at the bottom, with a red arrow pointing to it. A blue banner at the bottom of the window reads 'New Special Conditions Tab'.

Number	Limit	%	Part Of	%	Excess Of	Deductible	%	Min De
EQ Pol		50.00	☒	250,000,000.00	☐	0.00	0.00	☒
*		0.00	☐	0.00	☐	0.00	0.00	☐

Details	Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductible
...	Calif Sublimit	Sublimit		100,000,000.00	50,000,000.00	0.0
*	...	Sublimit		0.00	0.00	0.0

Save as New Account Save and Exit Save Cancel Help

New Special Conditions Tab

- **Condition name**
- **Type of condition – sublimit or policy restriction**
- **Sub-condition of – used to indicate parent-child relationship**
- **Total limit – overall condition limit**
- **Deductible – condition deductible**

3. Open the Special Conditions window

- Click the “...” button in the Details column.
- This opens the main Special Conditions setup window.

Special Conditions

Condition Summary:

	Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductible	%
*		Sublimit		0.00	0.00	0.00	☐

Criteria:

	And-Or	(	Field	Operator	Value	)
*						

Apply Filter ☐ View All

Locations subject to Conditions:

Included	Location Number	Location Name	Postal Code	County	CRESTA Code	State Code	State Name	Country
----------	-----------------	---------------	-------------	--------	-------------	------------	------------	---------

0 Total Locations on Account
0 Location(s) subject to condition
0 Location(s) had conditions manually applied
0 Location(s) overridden

OK Cancel Help

Summary information

4. Enter the special condition details

- In Condition Name, give your condition a meaningful name.
- Enter Total Limit (if you are applying a sublimit).
- Enter Deductible (monetary or percentage).
- If you are applying a % deductible per location, enter the percentage here.
- The second table in the window is used to define which locations the rule will apply to.

The screenshot displays the 'National Accounts Tool' window. The 'Account Information' tab is active, showing fields for Number, Name, Underwriter, Branch, Producer, Cedant, Active, User Defined 1, and User Defined 2. Below this is a 'Policies' table with columns for Number, Limit, %, Part Of, %, Excess Of, Deductible, %, and Min De. The 'Special Conditions' tab is highlighted with a red arrow. The 'Special Conditions' table has columns for Details, Condition Name, Type of Cond, Sub-condition of, Total Limit, Exposed Limit, and Deductible. The 'Save as New Account' button is visible at the bottom left, and the 'Save and Exit', 'Save', 'Cancel', and 'Help' buttons are at the bottom right.

Number	Name	Underwriter	Branch	Producer	Cedant	Active	User Defined 1	User Defined 2
Sample						No		

Number	Limit	%	Part Of	%	Excess Of	Deductible	%	Min De
EQ Pol		50.00	☒	250,000,000.00	☐	0.00	0.00	☒
*		0.00	☐	0.00	☐	0.00	0.00	☐

Details	Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductible
...	Calif Sublimit	Sublimit		100,000,000.00	50,000,000.00	0.0
*	...	Sublimit		0.00	0.00	0.0

Special Conditions | Coverages | Reinsurance

Save as New Account | Save and Exit | Save | Cancel | Help

New Special Conditions Tab

5. Choose the location-identifying field

In the Field dropdown, select the criterion on which you want to filter locations. Examples:

- Country
- State Code
- County
- Location Number
- Occupancy Type
- UserText1 (useful for tagging locations with custom labels in the LOC file, e.g., “textile mills”)

Special Conditions

Condition Summary:

Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductible	%
*	Sublimit		0.00	0.00	0.00	☐

Criteria:

And-Or	(	Field	Operator	Value	)
*					

Apply Filter ☐ View All

Locations subject to Conditions:

Included	Location Number	Location Name	Postal Code	County	CRESTA Code	State Code	State Name	Country
----------	-----------------	---------------	-------------	--------	-------------	------------	------------	---------

0 Total Locations on Account
0 Location(s) subject to condition
0 Location(s) had conditions manually applied
0 Location(s) overridden

OK Cancel Help

Summary information

Policy Conditions Example

- **Schedule of locations already entered**
- **Underwriter is coding 250M EQ policy (50% participation) that has**
 - **50M sublimit for locations in California subject to a 15% deductible**
 - **An underlying 10M sublimit for locations in LA county**
- **Both conditions are sublimits since they limit coverage for a subset of locations**
- **10M sublimit for LA county is a sub-condition of the 50M California condition since it provides even more limited coverage to a subset of locations**

Enter Policy

National Accounts Tool

Account Information | Locations

Account Information:

Number	Name	Underwriter	Branch	Producer	Cedant	Active	User Defined 1	User Defined 2
▶ Sample	Sample	ABC			ABC Ins	No		

Policies:

Number	Limit	%	Part Of	%	Excess Of	Deductible	%	Min De
▶ EQ Pol		50.00	☒	250,000,000.00	☐	0.00	10.00	☒
*		0.00	☐	0.00	☐	0.00	0.00	☐

Enter the condition summary information (i.e. Type, Name, Limit) then press the '...' button

Details	Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductib
▶ ...	\$50m Calif sublimit	Sublimit		50,000,000.00	25,000,000.00	
*	...	Sublimit		0.00	0.00	

Special Conditions | Coverages | Reinsurance

Save as New Account | Save and Exit | Save | Cancel | Help

Special Conditions Details – California Sublimit

Special Conditions

Condition Summary:

Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductible	%
\$50m Calif subli	Sublimit		50,000,000.00	25,000,000.00	15.00	☒
*	Sublimit		0.00	0.00	0.00	☐

Criteria:

And-Or	(	Field	Operator	Value	)
		Country	=	US	
AND		State Code	=	CA	
*					

☐ View All

Locations subject to Conditions:

Included	Location Num	Location Nam	Postal Code	County	CRESTA Cod	State Code	State Name	Country	Lc
☒	CA9130-4949		95603	PLACER COU	G	CA		US	
☒	CA9130-4949		95603	PLACER COU	G	CA		US	
☒	CA9130-4949		93304	KERN COUNT	C	CA		US	
☒	CA9130-4949		93277	TULARE COU	F	CA		US	
☒	CA9130-4949		91605	LOS ANGELE	B2	CA		US	
☒	CA9130-4949		90650	LOS ANGELE	B1	CA	California	US	

30 Total Locations on Account
15 Location(s) subject to condition
0 Location(s) had conditions manually applied
0 Location(s) overridden

Summary Info repeated here

Create ad-hoc filter by typing in criteria, alternatively could select 'View All' and manually select locations

Apply filter to see locations that satisfy criteria

Special Conditions Details – LA County Sublimit

Rather than return to main account screen just add condition here

Enter Criteria

Apply filter to see locations that satisfy criteria

Special Conditions

Condition Summary:

Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductible	%
\$50m Calif sublimit	Sublimit		50,000,000.00	25,000,000.00	15.00	☒
▶ \$10m LA County	Sublimit		10,000,000.00	5,000,000.00	15.00	☒
*	Sublimit		0.00	0.00	0.00	☐

Criteria:

And-Or	(	Field	Operator	Value	)
▶		Country	=	US	
AND		State Code	=	CA	
AND		County	=	Los Angeles County	
*					

Apply Filter

☐ View All

Locations subject to Conditions:

Included	Location Num	Location Nam	Postal Code	County	CRESTA Cod	State Code	State Name	Country	Loc L
☒	CA9130-4949		91605	LOS ANGELE	B2	CA		US	
☒	CA9130-4949		90650	LOS ANGELE	B1	CA	California	US	
☒	CA9130-4949		90245	LOS ANGELE	B1	CA	California	US	

< >

30 Total Locations on Account
3 Location(s) subject to condition
0 Location(s) had conditions manually applied
0 Location(s) overridden

✓

OK

✗

Cancel

?

Help

Back On Account Tab

Both Conditions are
shown

National Accounts Tool

Account Information | Locations

Account Information:

Number	Name	Underwriter	Branch	Producer	Cedant	Active	User Defined 1	User Defined 2
Sample	Sample	ABC			ABC Ins	No		

Policies:

Number	Limit	%	Part Of	%	Excess Of	Deductible	%	Min De
EQ Pol	50.00	☒	250,000,000.00	☐	0.00	10.00	☒	
*	0.00	☐	0.00	☐	0.00	0.00	☐	

Details	Condition Name	Type of Cond	Sub-condition of	Total Limit	Exposed Limit	Deductib
▶	\$50m Calif sublimit	Sublimit		50,000,000.00	25,000,000.00	
▶	\$10m LA County	Sublimit		10,000,000.00	5,000,000.00	
*		Sublimit		0.00	0.00	

Special Conditions | Coverages | Reinsurance

Save as New Account | Save and Exit | Save | Cancel | Help

Location Tab

Looking at 3rd
location

I can 'see' that both
conditions apply to
the location.

Note, I can't change
the terms, but I can
manually 'exclude'
coverage by
unchecking the
Included box

National Accounts Tool

Account Information | **Locations**

Country: United States Modify Country List ...

Geocode & Hazard Lookup

Schedule of Locations: 9 of 30

	Ear	Wl	Tor	Flo	Fir	Ter	Wv	Location Number	Location Name	Street Number	Street Name	City	ZIP Co
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-021		2900	WHITE LN	BAKERSFIEL	93304
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-026		2300	S MOONEY BLV	VISALIA	93277
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-037		13000	SHERMAN WAY	N HOLLYWO	91605
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-041		13000	PIONEER BOULE	Norwalk	90650
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-044		24000	ALICIA PKWY	MISSION VIEJ	92691
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-053		5300	MOWRY AVE	FREMONT	94538
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-056		9900	MIRA MESA BL	SAN DIEGO	92131
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-065		14000	CULVER DR	IRVINE	92604
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-07		100	E CALLE PRIME	SAN YSIDRO	92173
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-073		900	PO BOX	BUTTONMILL	93206
☒	☐	☐	☐	☐	☐	☐	☐	CA9130-4949-03-076		7400	FAIR OAKS BLV	CARMICHAEL	95608

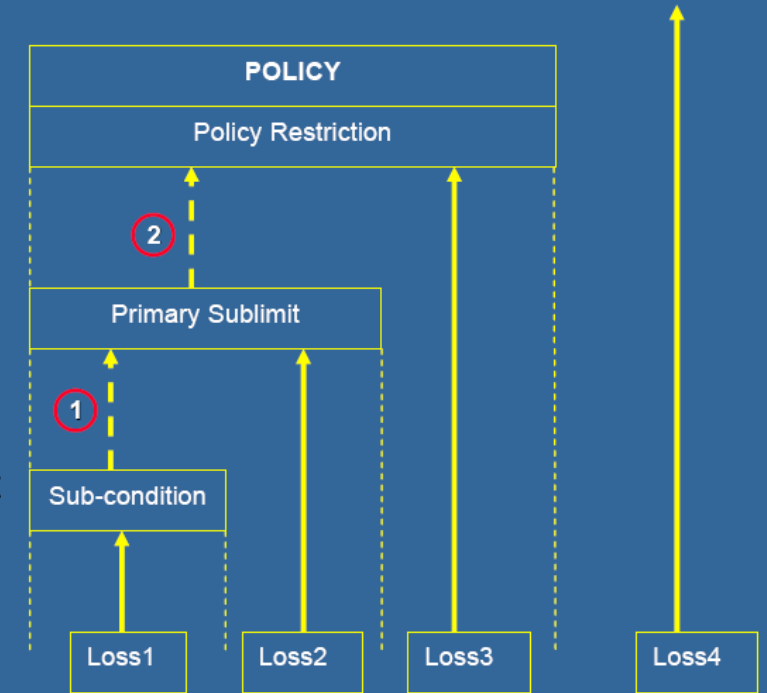
	Included	Policy Number	Condition Name	Type of Condition	Sub-condition of	Total Limit	Ex
☒	☒	EQ Pol	\$10m LA County	Sublimit		10,000,000.00	
☒	☒	EQ Pol	\$50m Calif sublimi	Sublimit		50,000,000.00	
☒	☒					0.00	

Coverages | **Special Conditions** | Reinsurance

Save as New Account | Save and Exit | Save | Cancel | Help

Financial Flow Of Conditions

- ❑ Loss paid by Sub-condition
 - ① = Loss 1 or Sub-cond. limit (whichever is smaller)
- ❑ Loss paid by Primary Sublimit
 - ② = (Loss 2 + ①) or sublimit (whichever is smaller)
- ❑ Loss paid by Policy
 - = (Loss 3 + ②) or policy limit (whichever is smaller)
- ❑ Loss 4 not covered due to policy restriction... passed back to insured



Financial Flow Example

Level of Payment	Which Condition Applies?	Limit Used	How the Loss Is Determined (Same Logic as Screenshot)
1. Loss paid by Sub-condition	LA County Sublimit	\$10M	Paid amount = Loss (for LA County) or \$10M (whichever is smaller). This is the <i>first</i> cap applied.
2. Loss paid by Primary Sublimit	California Sublimit	\$50M	Paid amount = Loss (California) + (amount paid under LA sub-condition), but capped at \$50M , or whichever is smaller.
3. Loss paid by Policy Limit	Full EQ Policy	\$250M × 50% = \$125M participation	Paid amount = Loss (all other CA + non-CA) + (amount paid under Primary Sublimit), but limited by policy's share.
4. Loss not covered	Outside all conditions	—	Any loss beyond the applied limits is not covered and is passed back to the insured.